



How Much Do You Need to Earn?

Every enterprise needs to be financially viable, as most owners will expect to earn a living from it. When starting out, you will need to calculate your business costs as well as your living costs to figure out your expected earnings.

Estimating your income

As a business owner, you can draw a salary like an employee, but you may also take regular sums known as dividends. The business must generate enough money to pay for all day-to-day running costs, such as rent or stock replacement. However, you will also need to put aside extra money for unexpected (contingency) costs and for financing growth. It is, therefore, vital to calculate how much money, after expenses, your business is realistically capable of producing. In other words, when will it start to make enough money to give you an income that you can live on?

Income versus investment

There is a balance between taking money out of your business and retaining it to invest in future growth. In the early stages, your business is unlikely to make money as you may have only a few customers or clients. It is not unusual for owners to take only a small income or none at all. This may have to continue for some time to ensure your company has sufficient funds to remain stable and to invest for the long term.

Figuring it out

To calculate the viability of a business idea, you need to compare how much money it will generate against how much you need to earn. From this, you will get an estimate to use as a guide, because the company is not yet operating. You should be prepared to earn less at first in order for the business to survive.

However, it is important that your business can deliver a realistic income within a reasonable length of time. Figure out these calculations so that you can add them to your business plan (see pp.104–105).

POTENTIAL MONEY IN THE BUSINESS

First, make a realistic estimate of how much the business may earn over a period of 6–12 months. Then deduct all expenses, including investment and contingency costs.

START-UP COSTS (which will eventually be repaid)	RUNNING COSTS	INVESTMENT AND CONTINGENCY COSTS
Premises	Staff costs	New or replacement equipment
Stock	Rent/mortgage	Product or service development
Machinery	Consumables and stock replenishment	Market research
Website	Utilities (broadband, gas, electricity)	Unforeseen emergencies

Calculate the amount of money that you will have to pay in taxes (see pp.90–91) and add this figure to your costs. The amount of money left after all deductions have been made is available for you as a salary or dividend.